M&A LEGAL DUE DILIGENCE REPORT

Target: Target Technologies Corp. | Deal: Project Titan Acquisition

CLASSIFICATION: CONFIDENTIAL / ATTORNEY-CLIENT PRIVILEGED DATE: November 2026

1. EXECUTIVE RISK HEATMAP & SUMMARY

CONTRACTS	CRITICAL	HIGH RISK	MEDIUM RISK	CLEAN / LOW
4	2	3	0	1

2. MANDATORY PRE-CLOSING CONDITIONS PRECEDENT (CP) CHECKLIST

ID	CONTRACT & PARTIES	REQUIRED PRE-CLOSING ACTION	RISK IF UNOBTAINED
CP-1	**MASTER SERVICES AGREEMENT** Acme Global Industries Inc. / Ta...	MANDATORY: (1) Include as a closing Condition Pre...	CRITICAL CLOSING BLOCKER: Transaction expl...
CP-2	**ENTERPRISE SOFTWARE-AS-A-SE...** Globex Cloud Solutions LLC / Tar...	Obtain formal waiver/consent prior to Closing or ...	Change of Control requires counterparty co...
CP-3	**EXCLUSIVE COMMERCIAL DISTRI...** Apex Logistics & Supply Internat...	DEAL STRUCTURING PRIORITY: (1) Mandatory closing ...	HIGH-SEVERITY CONTAMINATION RISK: Restrict...
CP-4	**EXCLUSIVE COMMERCIAL DISTRI...** Apex Logistics & Supply Internat...	Obtain formal waiver/consent prior to Closing or ...	Change of Control requires counterparty co...

3. MASTER RED FLAG DUE DILIGENCE MATRIX

CONTRACT	CATEGORY	SEVERITY	CONSENT	DEAL IMPLICATION
MASTER SERVICES AGREE...	Change of Control (...	CRITICAL	Required	CRITICAL CLOSING BLOCKER: Transaction explici...
ENTERPRISE SOFTWARE-A...	Change of Control (...	HIGH	Required	Change of Control requires counterparty conse...
EXCLUSIVE COMMERCIAL ...	Restrictive Covenan...	CRITICAL	No Consent	HIGH-SEVERITY CONTAMINATION RISK: Restrictive...
EXCLUSIVE COMMERCIAL ...	Termination for Con...	HIGH	No Consent	Unilateral termination for convenience by cou...
EXCLUSIVE COMMERCIAL ...	Change of Control (...	HIGH	Required	Change of Control requires counterparty conse...
STRATEGIC TECHNOLOGY ...	Assignment & Transfer	LOW	No Consent	Standard M&A successor carve-out. Allows assi...

4. DETAILED CONTRACT-BY-CONTRACT AUDIT & VERBATIM CITATIONS

1. MASTER SERVICES AGREEMENT

CRITICAL | CP REQ: YES

Parties: Acme Global Industries Inc., Target Technologies Corp | Law: New York | Effective: January 15, 2023

[Change of Control (CoC)] Severity: CRITICAL (Standard: Sole and Absolute Discretion)

Verbatim Clause Citation:

> *"SECTION 12. ASSIGNMENT AND CHANGE OF CONTROL 12.1 General Prohibition. Neither party may assign, delegate, or otherwise transfer this Agreement or any of its rights or obligations hereunder, whether voluntarily, involuntarily, by operation of law, or otherwise, without the pri..."*

Legal Risk Assessment:

CRITICAL CLOSING BLOCKER: Transaction explicitly triggers Change of Control consent. Counterparty holds sole discretion to withhold consent and retains unilateral termination rights or clawback remedies upon closing without prior consent.

Prescribed Transactional Action:
MANDATORY: (1) Include as a closing Condition Precedent (CP) to obtain written counterparty consent; (2) List on Seller Disclosure Schedule 3.4 (Consents & Approvals); (3) Formulate pre-signing outreach strategy.

2. ENTERPRISE SOFTWARE-AS-A-SERVICE (SAAS) SUBSCRIPTION...

HIGH | CP REQ: YES

Parties: Globex Cloud Solutions LLC, Target Technologies Corp | Law: California | Effective: March 1, 2024

[Change of Control (CoC)] Severity: HIGH (Standard: Silent / Unspecified)

Verbatim Clause Citation:
"14. ASSIGNMENT Neither party may assign, sublicense, transfer, or encumber this Agreement, or any of its rights or obligations hereunder, by operation of law, change of control, or otherwise, without the prior written consent of the non-assigning party; provided, however, that..."

Legal Risk Assessment:
Change of Control requires counterparty consent. While not explicitly subject to sole discretion, failure to obtain consent creates risk of contract repudiation or post-closing renegotiation.

Prescribed Transactional Action:
Obtain formal waiver/consent prior to Closing or secure closing condition in Acquisition Agreement.

3. EXCLUSIVE COMMERCIAL DISTRIBUTION AND CHANNEL AGREEMENT

CRITICAL | CP REQ: YES

Parties: Apex Logistics & Supply International Inc. ("Distributor"), Target Technologies Corp | Law: Delaware | Effective: August 10, 2022

[Restrictive Covenant / Non-Compete] Severity: CRITICAL (Standard: Consent Not Required)

Verbatim Clause Citation:
"SECTION 4. EXCLUSIVITY AND TERRITORY 4.1 Exclusive Appointment. Company hereby appoints Distributor as its exclusive commercial distributor in the territory of the United States and Canada ("Territory") for all Company telemetry hardware and related accessories. 4.2 Negative C..."

Legal Risk Assessment:
HIGH-SEVERITY CONTAMINATION RISK: Restrictive covenant / non-compete explicitly binds Target's 'current or future Affiliates and parent entities'. Following closing, Buyer and its existing subsidiaries would become 'Affiliates' and could be legally prohibited from distributing competing products in the Territory!

Prescribed Transactional Action:
DEAL STRUCTURING PRIORITY: (1) Mandatory closing waiver or contract amendment carving out Buyer and Buyer's pre-existing affiliates; (2) Alternatively, isolate Target in a remote corporate subsidiary ring-fence.

[Termination for Convenience] Severity: HIGH (Standard: Consent Not Required)

Verbatim Clause Citation:
"SECTION 9. TERMINATION FOR CONVENIENCE Notwithstanding anything to the contrary herein, Distributor may terminate this Agreement without cause and for its sole convenience at any time upon thirty (30) days prior written notice to Company. Company shall have no right of termina..."

Legal Risk Assessment:
Unilateral termination for convenience by counterparty on short notice (30 days). Presents revenue vulnerability post-acquisition: counterparty can walk away immediately upon learning of the deal.

Prescribed Transactional Action:
Financial DD coordination: Assess customer concentration and valuation haircut if counterparty terminates; consider retention conversations as part of pre-closing integration.

[Change of Control (CoC)] Severity: HIGH (Standard: Silent / Unspecified)

Verbatim Clause Citation:
"SECTION 15. ASSIGNMENT AND TRANSFERS 15.1 Assignment by Company. This Agreement is personal to Company. Company may not assign, transfer, pledge, or delegate this Agreement, or any portion thereof, without the prior express written consent of Distributor. 15.2 Change in Owners..."

Legal Risk Assessment:
Change of Control requires counterparty consent. While not explicitly subject to sole discretion, failure to obtain consent creates risk of contract repudiation or post-closing renegotiation.

Prescribed Transactional Action:
Obtain formal waiver/consent prior to Closing or secure closing condition in Acquisition Agreement.

4. STRATEGIC TECHNOLOGY COOPERATION AND OEM AGREEMENT

LOW | CP REQ: NO

Parties: Inventure Technologies SE, Target Technologies Corp | Law: England and Wales | Effective: November 5, 2023

[Assignment & Transfer] Severity: LOW (Standard: Consent Not Required)

Verbatim Clause Citation:

"ARTICLE 16. ASSIGNMENT AND SUCCESSORS 16.1 General. Except as expressly set forth in Section 16.2 below, neither party may assign or transfer this Agreement without the prior written consent of the other party (such consent not to be unreasonably withheld, conditioned, or dela..."

Legal Risk Assessment:

Standard M&A successor carve-out. Allows assignment without consent in connection with a merger or asset/stock acquisition. Check competitor exclusions (Exhibit D).

Prescribed Transactional Action:

Confirm Buyer is not a listed competitor on Exhibit D; diarize post-closing notice within 15 business days.